Monetary Policy Statement *(July-December 2012: H1FY13)*

Executive Summary

This issue of the Bangladesh Bank (BB) half yearly Monetary Policy Statement (MPS) outlines the monetary policy stance that BB will pursue in H1 FY13 (July-December 2012), based on an assessment of global and domestic macro-economic conditions and outlook. BB's monetary policy has two major objectives: (i) maintaining inflation at moderate levels and (ii) supporting inclusive growth objectives of the Government. This MPS was preceded by productive consultations with a range of key stakeholders and web-based comments were also received.

In FY10 and FY11 the global economy continued languishing in the aftermath of the 2009 global financial crisis and BB eased monetary policy in order to limit the impact on the Bangladesh economy. Due to this and other pro-active measures, the Bangladesh economy emerged largely unscathed from this global crisis, averaging over 6% growth between FY09 and FY11. In FY12 the economy faced a different set of challenges related to rising inflation and balance of payments pressures. In order to address these challenges BB's monetary stance was more restrained than earlier years and yet able to accommodate a private sector credit growth rate which was more than sufficient to meet the initial GDP growth target. The monetary growth targets set in January 2012 were met and the key outcomes – falling inflation and containment of external sector pressures – were achieved.

In several respects FY12 was a 'year of two halves'. The first half (H1FY12) witnessed significant balance of payments pressures due to high global oil prices and low aid disbursements, forcing significant depreciation of the Taka and some foreign reserve depletion. Government's borrowing from the banking sector also rose sharply during this period and inflation rose to double-digits levels. In the second half of the fiscal year (H2FY12) external pressures eased due to monetary tightening, lower import demand and pro-active steps to secure alternative sources of external financing. Government borrowing from the banking sector in H2FY12 was also more conservative and by end June 2012 it amounted to around Taka 219.83 billion, well short of the revised budget figure of Taka 291.15 billion. The more restrained monetary stance, adequate domestic foodgrain output and moderate global commodity prices contributed to point-to-point inflation falling to single digits. The Taka/US dollar exchange rate stabilized and external reserves rose to 10.3 billion USD in June 2012 from 9.4 billion USD in January 2012.

In 2012, global growth is expected to be 2.5% while the average for developing countries is projected at 5.3%. In this uncertain global context the provisional estimate of 6.3% GDP growth for Bangladesh in FY12 is impressive, though lower than the FY12 Budget target of 7%. The lower growth figure is primarily due to significantly slower agricultural growth, although this may be revised upwards once the final rice output figure is included. Industrial growth in FY12 was higher than FY11 suggesting that the relatively more restrained monetary stance in FY12 had little or no adverse impact on overall growth. This is also supported by the fact that capital machinery and industrial raw material imports registered double-digit growth between June and May FY12 even though overall import growth slowed to around 7%. The Government has set a real GDP growth target of 7.2% for FY13. However given the on-going global economic slowdown there are significant downside risks for Bangladesh's export and remittance growth,

and therefore for this GDP growth target. The last several months of FY12 have seen moderating inflation pressures as point-to-point inflation has declined from a peak of 11.97% in September to 8.56% in June. This decline has largely been due to lower food price inflation though of late non-food inflation has also declined, from a peak of 13.96% in March to 11.72% in June 2012. While these recent trends are positive, average annual inflation remains 10.6% and it is important to bring inflation down further to meet the 7.5% target set out in the FY13 Budget. As such containing inflation will remain a core focus of the monetary program.

Monetary targets for FY12 are on track establishing the credibility of the stance taken in the previous Monetary Policy Statement. In June 2012, broad money growth (M2), on a year-on-year basis, was an estimated 17.2% and growth of Net Domestic Assets was 20.1%, compared to the targets set in the January MPS at 17% and 21.9% respectively. This stance was achieved through active liquidity management, raising repo rates by 100 basis points in FY12, lifting all but two rate caps and tightening consumer credit through administrative measures. Private sector credit growth was a healthy 18.5% in June 2012, higher than the 'emerging Asia' regional average of 15%. Analysis of the outstanding loans to the private sector indicates an increasing share of SME loans and a virtually unchanged share of industrial term loans in total outstanding credit. In addition inflow of foreign private loans, mostly of longer term tenor, was also nearly one billion US dollars in FY12.

The monetary stance for H1 FY13 takes these recent economic developments into account and targets a monetary growth path which will further curb inflationary pressures, while ensuring adequate private sector credit to stimulate inclusive growth. Specifically BB's monetary program for FY13 aims to contain reserve money growth to 14.5% and broad money growth to 16% by December 2012. Credit to the private sector is envisaged to remain at a healthy 18%, above other countries in the region, and enough to accommodate the FY13 GDP growth targets. BB's monetary policy stance for FY13 thus ensures that attaining the GDP growth target is not constrained by access to credit for productive purposes, while limiting domestic credit growth to levels consistent with the FY13 CPI inflation target. This stance is being closely coordinated with the Ministry of Finance.

Ensuring government borrowing from the banking system does not crowd out available liquidity for commercial banks will remain a key area of focus for BB. The monetary program is currently structured to ease the pressure on Primary Dealer banks. Call money rates have declined steadily since end June suggesting an easing of liquidity pressures. Average interest rate spreads for the banking sector have come down slightly since the recent BB circular to limit these spreads and BB expects these to decline further in FY13 especially for Foreign Commercial Banks, whose current spreads are the highest in the industry. In order to strengthen the financial system, new loan classification and provisioning guidelines are being introduced. Banks will have to implement these by H1FY13, and while these may make a one-off difference to bank profitability they will not affect access to credit.

This monetary policy stance also aims to preserve the country's prevailing external sector stability. In light of the subdued outlook for global trade BB expects a modest growth in foreign reserves in FY13. BB will continue to support a market-based exchange rate while seeking to avoid excessive foreign exchange rate volatility.

Monetary policy statement (July-December 2012)

Global context

Global growth prospects remain highly uncertain in key trading partner countries, particularly in Europe due to the unfolding sovereign debt crisis. The United States is showing some signs of recovery but overall the growth prospect for 2012 in advanced economies remains bleak while growth has slowed in developing countries (see Box 1).

Box 1. Global Growth Outlook and Implications

A marked improvement in market sentiment in early 2012 combined with monetary policy easing in developing countries, was reflected in a rebound in economic activity in both developing and advanced countries. However, since the beginning of May, much of this progress has been called into question by a re-igniting of Euro Area jitters, which affected financial markets around the globe. The resurgence of tensions in the Euro Area adds to the pre-existing headwinds from fiscal consolidation and banking sector deleveraging in the advanced economies, as well as capacity constraints and reduced capital inflows in some of the large developing economies. All these will conspire to keep growth weak in 2012. Growth is forecast at 5.3 percent for developing countries and 1.4 percent for the advanced economies during 2012 (the Euro zone is projected to contract by 0.3 percent).

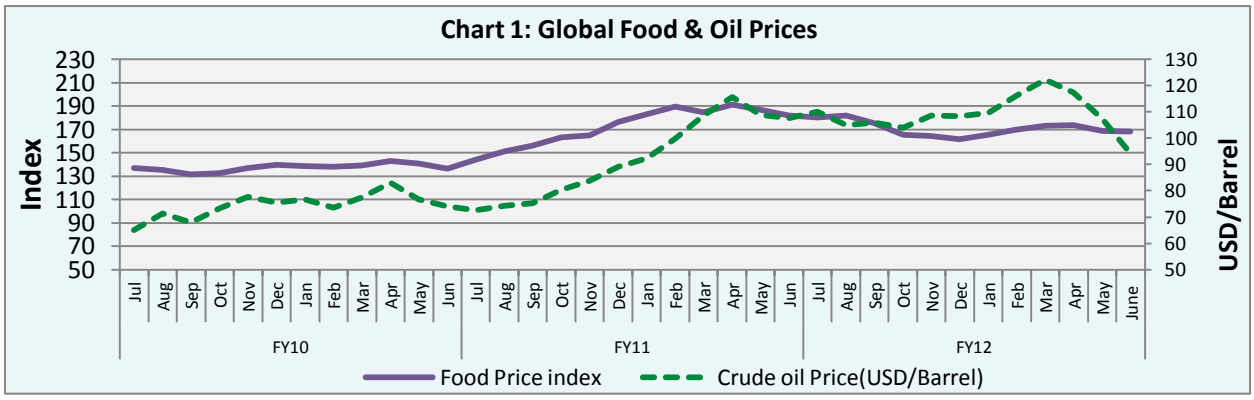
Overall, global GDP is projected to increase by 2.5 percent this year. In the immediate run, the new Euro Area tensions pose the most serious potential risk for developing countries, particularly those with strong reliance on worker remittances, tourism and commodities or those with high levels of short-term debt or medium-term financing requirements. For the foreseeable future, the external environment will remain characterized by volatile capital flows and heightened investor uncertainty, complicating the conduct of macroeconomic policy in developing countries. Looking ahead, there are indications that 2013 could see some growth recovery both globally and in specific countries such as India and China.

World GDP growth
(year- on- year, in percent)

	2011	2012 e	2013 (Proj.)
World	2.7	2.5	3.0
High income countries	1.6	1.4	1.9
OECD Countries	1.4	1.3	1.8
Euro Area	1.6	-0.3	0.7
USA	1.7	2.1	2.4
Developing countries	6.0	5.3	5.9
China	9.1	8.2	8.6
India	6.5	6.6	6.9

Source: World Bank Global Economic Prospects (2012)

Commodity prices continue to represent a key country risk. Global food prices remain at elevated levels. However, international rice prices have fallen thereby helping to keep domestic rice prices in check. Oil prices have fluctuated and crude oil prices rose sharply in the months leading to March 2012 due to escalating tensions in the Middle East. The price of a barrel of crude oil averaged USD 117 in March 2012, 13% higher than its average in December 2011, and 8% higher than a year earlier. Since then concerns over the global recovery has led to decline in commodity prices generally, with Brent crude oil dropping under USD90 a barrel for the first time since December 2010. However a further round of quantitative easing in advanced countries in light of the current Eurozone crisis could lead to speculative flows into commodity markets. Moreover the uncertainties in the Middle East continue to persist. Hence the current easing of commodity market prices may not sustain itself in 2012/13.



Recent economic developments

In FY10 and FY11 the global economy was reeling from the global financial crisis of 2009 and in order to avert an impact on the Bangladesh economy, broad money growth and specifically private sector credit growth were eased. The Bangladesh economy as a consequence of this stance, and other pro-active measures, emerged largely unscathed from the global crisis, averaging over 6% growth between FY09 and FY11. In FY12 the economy faced a different set of challenges related to rising inflation and balance of payments pressures. In order to address these challenges BB's monetary stance was more restrained than earlier years and yet able to accommodate a private sector credit growth rate (18.5%) which was more than sufficient to meet the initial GDP growth target. The monetary growth targets set in January 2012 were met and the outcomes – falling inflation and containment of external sector pressures – were achieved.

Domestic output growth was projected at 7% in the FY12 Budget assuming stable domestic and global economic conditions. Provisional figures from the Bangladesh Bureau of Statistics (BBS) estimate economic growth of 6.32% in FY12 compared to 6.71% in FY11. The main reason behind the lower number appears to be a slowing of agricultural growth which according to these provisional numbers has slowed from 5.13% in FY11 to 2.53% in FY12. This is largely due to the base effect of two consecutive years of record growth but also they could be revised upwards once the 'Boro' rice crop is accounted for. Yet industrial growth, which is the sector most affected by access to timely credit, is estimated at 9.47% in FY12, higher than the 8.20% in FY11. An important driver of this higher industrial growth is faster growth of small scale industries which increased from 5.84% in FY 11 to an estimated 7.18% in FY12. Service sector growth of 6.06% in FY12 was marginally lower than the 6.22% achieved in FY11 (see Table 1).

Table 1: Gross Domestic Product of Bangladesh at Constant Prices by Broad Industry Sector, 2007-08 to 2011-12(p)

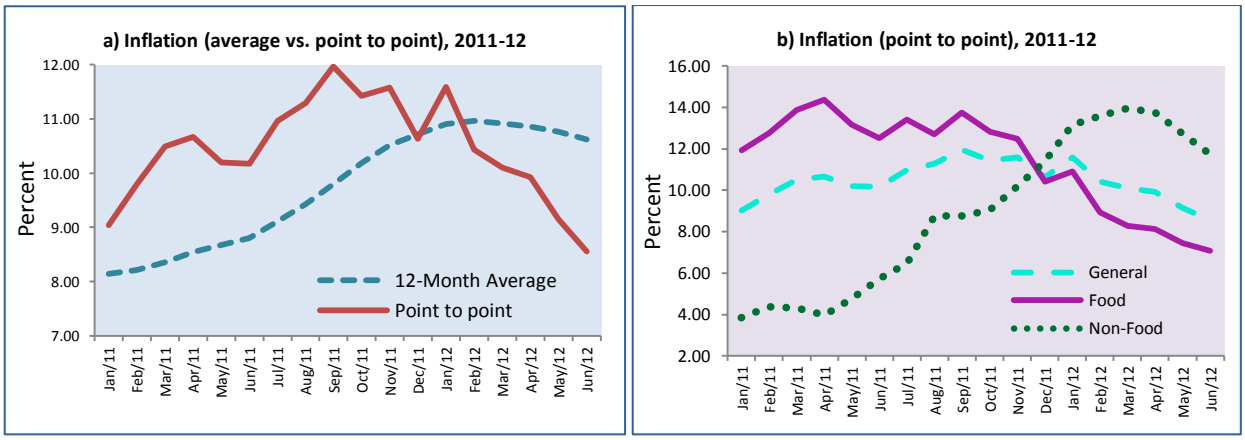
Broad Industry Sector	2007-08	2008-09	2009-10	2010-11	2011-12(p)
Growth rate					
1. Agriculture	3.2	4.12	5.24	5.13	2.53
2. Industry	6.78	6.46	6.49	8.2	9.47
a) Manufacturing	7.21	6.68	6.5	9.45	9.76
of which: Small Scale	7.1	6.9	7.77	5.84	7.18
b) Construction	5.68	5.7	6.01	6.51	8.51
3. Services	6.49	6.32	6.47	6.22	6.06
GDP at constant market price	**6.19**	**5.74**	**6.07**	**6.71**	**6.32**

Source: BBS; (p) - provisional.

Inflation appears to have peaked and over the past few months is on a downward trajectory. In June 2012, point to point inflation was 8.56%, and average inflation was 10.6% both of which therefore remain higher than the 7.5% ceiling in the 2011/12 Budget speech. This high twelve month average is due to a number of factors including the lagged effect of high domestic credit growth in FY2011, exchange rate depreciation and recent upward adjustments in energy and petroleum prices. However the last several months of FY12 has seen moderating inflation pressures as point-to-point inflation has declined from a peak of 11.97% in September to 8.56% in June 2012. The bulk of this decline has been due to lower food price inflation though of late non-food inflation has also declined, from a peak of 13.96% in March to 11.72% in May 2012. A 'core inflation' measure – which omits food and fuel prices – also confirms this trend.

While these recent trends are satisfactory, it is important to bring inflation down further to meet the 7.5% target set out in the FY13 Budget. Inflation affects the poor the most and there is considerable global, and local, evidence that high inflation can contribute to social unrest.

Chart 2: Inflation



The FY12H2 monetary policy stance contributed to restoring external sector stability. The January 2012 MPS stated that "*The external sector is facing a challenging environment and addressing this is an integral part of Bangladesh Bank's monetary stance as strong external buffers are essential for sustainable growth…. A more restrained domestic credit environment is expected to limit import growth*

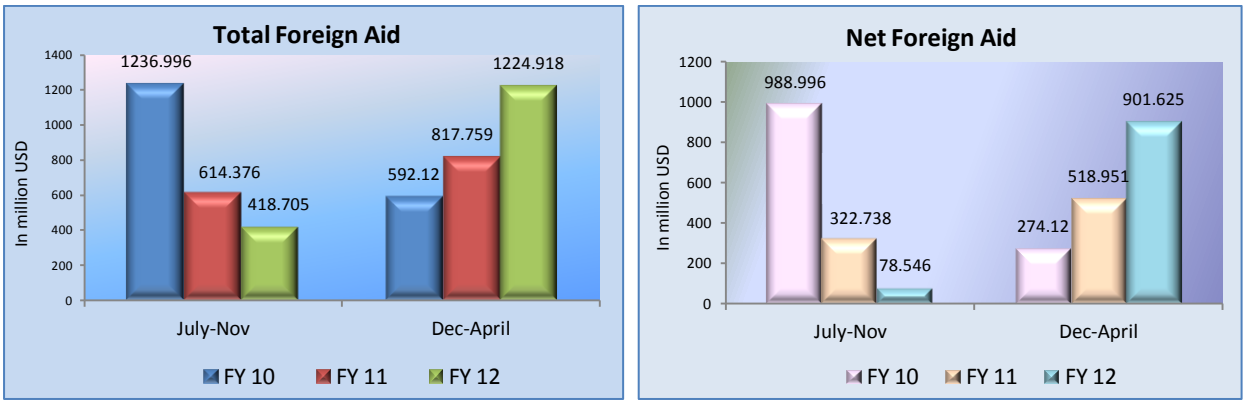
further, while the more depreciated exchange rate will support export and remittance growth. As such we expect that a new external sector equilibrium will be reached soon" (pg 2). By March 2012 this 'new external sector equilibrium' was reached. Balance of payments pressures were eased with the more restrained monetary policy regime, slowdown in import demand and access to a greater range of foreign financing sources. The Taka's value which had fallen by around 15% vis-a-vis the US dollar in the twelve months preceding mid January 2012 reached a new equilibrium in early 2012 and has since remained stable. Foreign exchange market liquidity improved to the extent that all foreign exchange overdrafts given by the Central Bank to commercial banks, amounting to around $500 million at the end of 2011, were eliminated by June 2012. External reserves increased to 10.3 billion by end June 2012 from 9.4 billion in January 2012.

While **the current account, and overall external balance, has improved the slow-down in exports is of concern** (see Annex 1 for the balance of payments table). Export growth in FY12 remained in positive territory with 5.93% growth and was helped by the depreciation of the taka. However recent monthly point to point figures point to a slowdown e.g. June 2012 exports are 3.3% lower than June 2011. This largely reflects the crisis in the European markets. The sharp slowdown in import growth (7.2% between July-May compared to the same period last year, and a 6.3% fall in import L/C openings) and the healthy growth in remittances (10.3% estimated in FY12) has improved the current account balance in the past few months especially since the import slowdown is from a larger base. The import slowdown was due to a number of factors. First, foodgrain imports were almost $1 billion less between July-May 2012 compared to the same period in FY11 due to existing high food stocks and excellent domestic harvests. Second the more restrained monetary policy helped to curb overall import demand. However there was positive import growth for both industrial raw materials (10.45% growth during July-May in FY12 compared to the same period in FY11) and capital machinery categories (23.6% over the same period), both of which are important for output growth. We now estimate a current account surplus of USD578 million for FY12.

Remittances have been buoyed by larger numbers of Bangladeshi workers moving abroad over the past year and may have been helped by the depreciation of the Taka. Remittance growth of 10.3% in FY12 is significantly higher than the 6% growth in FY11.

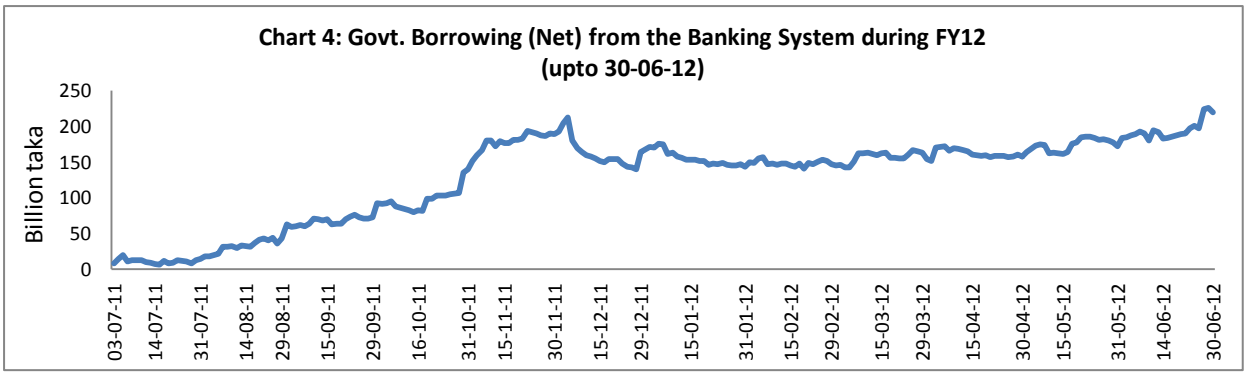
Foreign aid disbursements in FY12 were a 'tale of two halves'. A sharp decline in net foreign aid (total aid minus payments) was another major reason behind balance of payment pressures in the first half of FY12. However in the second half of FY12 this picture reversed itself, as Chart 3, illustrates contributing to the easing of external pressures. Total aid disbursements between July-April 2012 was USD211 million, or 14.8% higher, than the corresponding period the previous year. Net aid is about 16.5% higher over this same period.

Chart 3: Foreign Aid

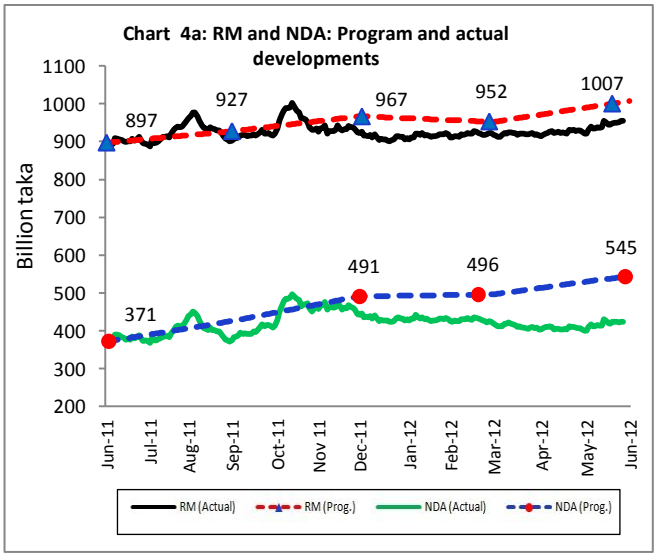


Looking ahead to FY13 our balance of payments projections (Annex 1) assumes a modest export growth of 8%, in light of the global slow-down, import growth of 8% and remittance growth of 12%. The remittance growth figures are based on the increased manpower exports in FY12. These assumptions give rise to a projected current account surplus of around $620 million in FY13 and an overall reserve build-up of about $150 million.

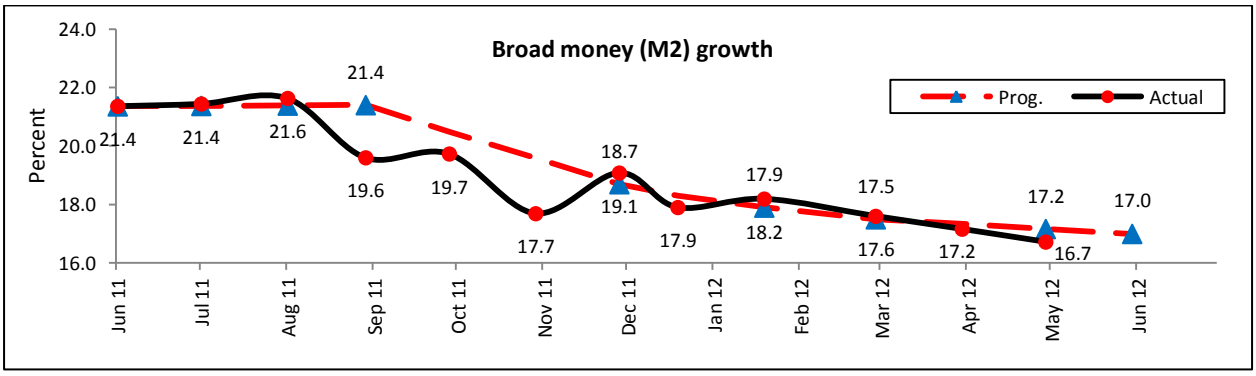
The key issue relating to fiscal-monetary coordination relates to the level and composition of domestic borrowing. In the first half of FY12 low foreign aid inflows, subsidy payments and low levels of non-bank borrowing, had led to rapid growth of government borrowing from the banking sector, including from BB. On December 4th 2011, government borrowing from the banking sector peaked at 213.21 billion Taka having exceeded the entire year budgetary target of 189.57 billion Taka (see chart 4). However, the second half of FY12 saw a clear turn-around. Foreign financing increased substantially, interest rates on savings instruments were raised and consequently borrowing from the banking sector eased considerably. In February 2012 government borrowing from the banking sector dipped to less than 150 billion Taka and by end June 2012 this figure was 219.83 billion Taka, well short of the revised budget figure of 291.15 billion Taka. While ultimately net credit to government from the banking system was significantly less than anticipated in the revised budget, the initial spurt in borrowing and subsequent uncertainty related to its program path contributed to lower repo outlays and reserve money growth than what could have been accommodated had this lower government borrowing been anticipated.

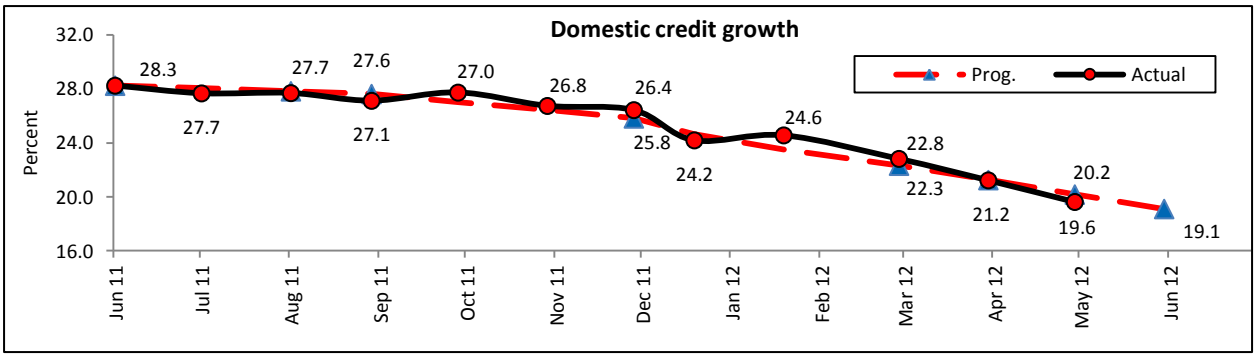


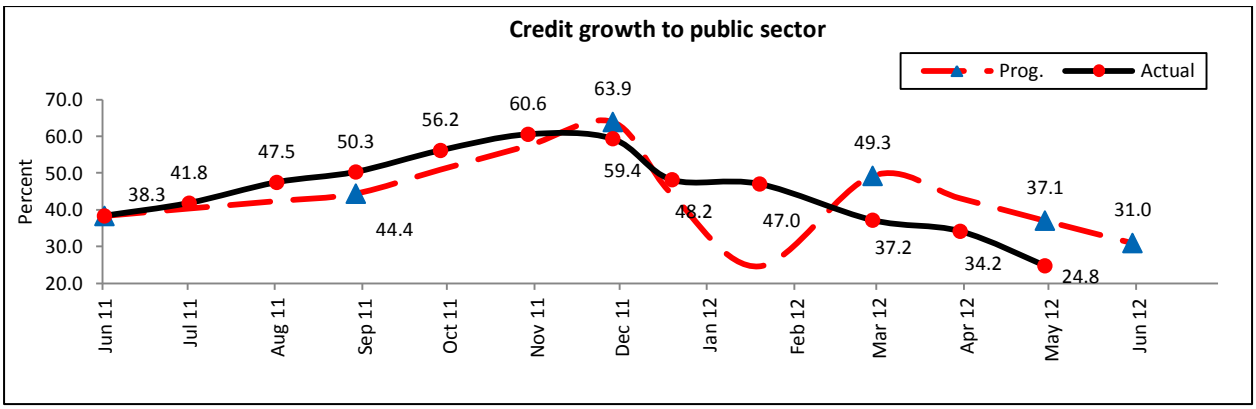
Monetary growth targets for FY12 stayed on track establishing the credibility of the stance taken in the previous Monetary Policy Statement. Reserve money growth and growth of net domestic assets of Bangladesh Bank remained within program targets (see chart 4a). Broad money growth for June 2012 is expected to be around 16.7% slightly less than the January MPS target of 17%, and domestic credit growth is also closely following the program path (see chart 4b). This more restrained stance was achieved through open market operations, raising the repo rates by 100 basis points in FY12 and lifting caps on lending interest rates other than for agricultural and pre-shipment export credit.

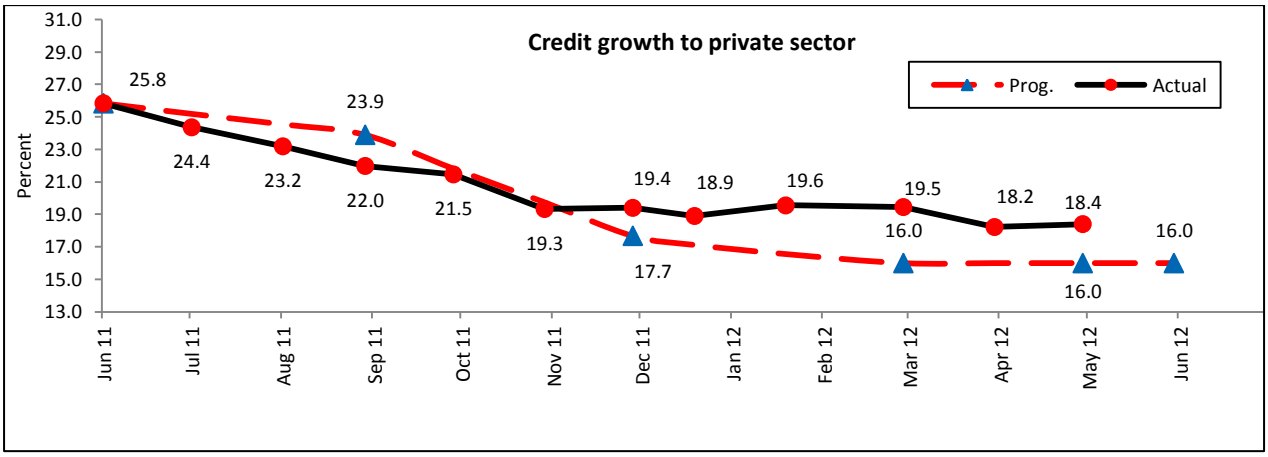


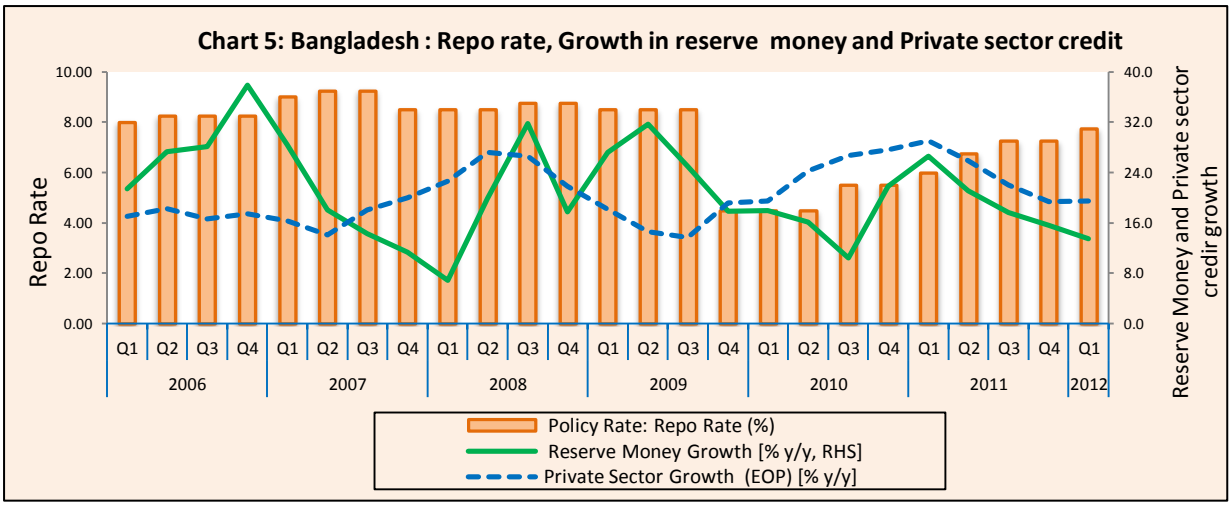
Charts 4b: Monetary growth – program vs targets

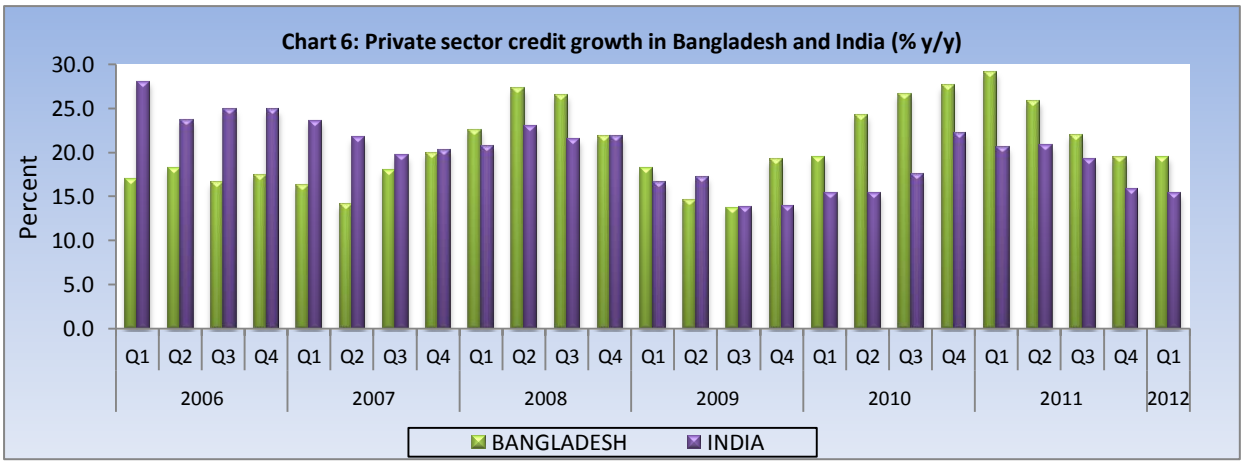



Domestic credit growth
Prog.
Actual
Percent
32.0
28.0
24.0
20.0
16.0
28.3
27.7
27.7
27.6
27.1
27.0
26.8
26.4
25.8
24.2
24.6
22.8
22.3
21.2
20.2
19.6
19.1
Jun 11
Jul 11
Aug 11
Sep 11
Oct 11
Nov 11
Dec 11
Jan 12
Feb 12
Mar 12
Apr 12
May 12
Jun 12


Credit growth to public sector
Prog.
Actual
Percent
70.0
60.0
50.0
40.0
30.0
20.0
38.3
41.8
47.5
50.3
44.4
56.2
60.6
63.9
59.4
48.2
47.0
49.3
37.2
34.2
37.1
31.0
24.8
Jun 11
Jul 11
Aug 11
Sep 11
Oct 11
Nov 11
Dec 11
Jan 12
Feb 12
Mar 12
Apr 12
May 12
Jun 12


Credit growth to private sector
Prog.
Actual
Percent
31.0
29.0
27.0
25.0
23.0
21.0
19.0
17.0
15.0
13.0
25.8
24.4
23.2
23.9
22.0
21.5
19.3
19.4
17.7
18.9
19.6
19.5
16.0
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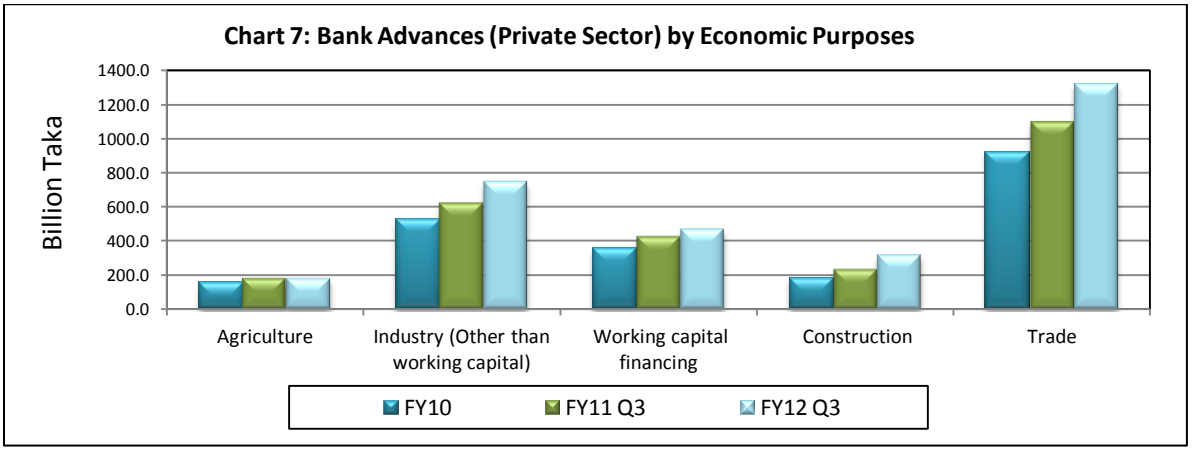


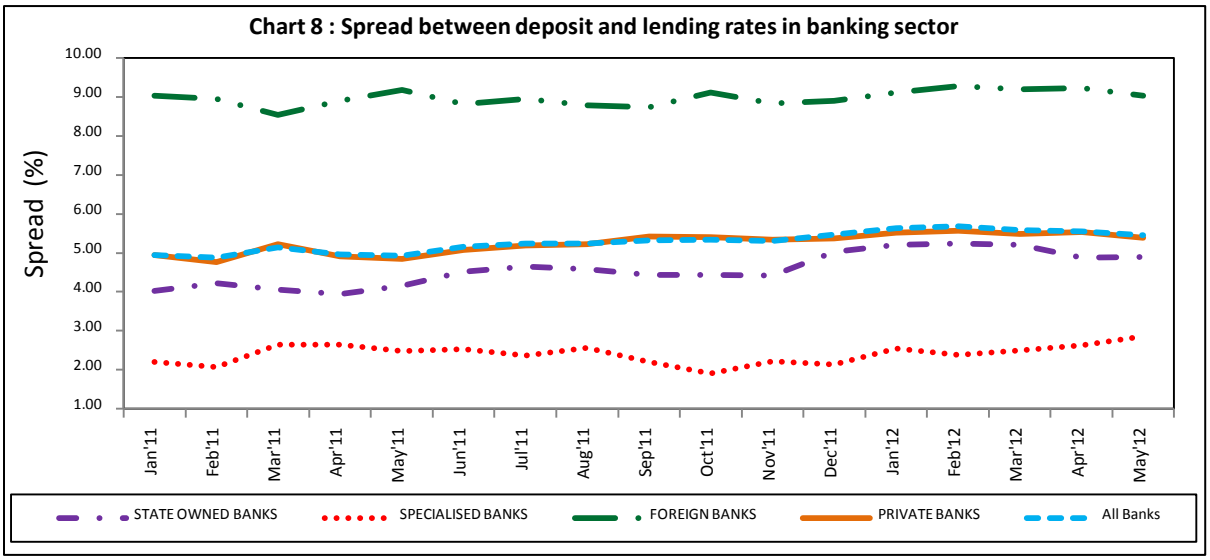


Private sector credit growth in FY12 was sufficient to meet output growth targets. As chart 4b illustrates credit growth to the public sector showed considerable inter-year variation, as it was above the programmed path in the first half of FY12 and then remained consistently below the programmed path in the second half of FY12. Repo flows were targeted mainly to the Primary Dealer banks as the relative lack of secondary trading in government securities has led to a build-up in assets which are not very liquid. The bulk of public sector borrowing is net credit to central government (NCG). Over the past two years NCG has ranged between 2.4-2.6% of GDP and has raised concerns about crowding out of private sector credit. A closer look suggests that this crowding out concern appears to be limited by the fact that the weight of government borrowing in total domestic credit remains around 22% so that the bulk of credit in the economy is private sector credit. Moreover the fact that private sector credit growth in June 2012 is around 18.5%, higher than the 15% average for 'emerging Asia', and more than sufficient to meet GDP growth targets, suggests that this concern is unfounded. India has experienced higher than 7% output growth in recent years but had lower private sector credit growth than Bangladesh (charts 5 and 6).

Analysis of the economic purpose of outstanding loans to the private sector indicates a small reduction in consumer credit growth with a corresponding increase in the share of construction loans (7.9% to 9.0%). There was a virtually unchanged share of industrial term loans (21.2% in March 2012) in total outstanding credit, as the growth in industrial term credit (20.2% between March 2011-March 2012) was virtually the same as the growth in private sector advances (19.9%) during that period (chart 7). The share of SME loans to total outstanding loans for the banking industry has increased from 19.9% in March 2011 to 21.8% in March 2012. In addition inflow of foreign private loans, mostly of medium-long term tenor, amounted to nearly US$1 billion during the FY12.

Call money rates have declined and interest rate spreads have fallen marginally but need to decline further especially for foreign banks. At the retail level both deposit and lending rates rose in FY12. Call money rates have declined steadily since late June suggesting an easing of liquidity pressures in the banking system. Interest rate spreads have on average fallen – from 5.68% in February to 5.45% in May 2012 - since the January instruction by BB on limiting spreads was issued (see Chart 8). However they continue to remain high for Foreign Commercial Banks (FCBs), whose average spreads are almost double that of the average of other banks. This warrants closer monitoring and actions to further reduce these spreads.





The monetary stance in H1 FY13 takes these recent economic developments into account and will pursue a monetary growth path which curbs inflationary pressures, while ensuring adequate private sector credit to stimulate inclusive growth. Specifically we aim to contain reserve money growth to 14.5% and broad money growth to 16% by December 2012. BB will have a ceiling on net domestic assets as a key operating target. Credit to the private sector is envisaged to remain at a healthy 18.3% well in line with growth targets and similar to other countries in the region. This assumes government borrowing from the banking sector will remain around the FY13 budgetary figure of 230 billion taka.

Table 2: Monetary Aggregates (Y-o-Y growth in percent)

	Actual			Jan MPS prog	Estimated	Program	
	FY09	FY10	FY11	June 12 p	Jun.12e	Dec.12	Jun.13
1. Net Foreign Assets	26.4	41.0	6.3	-8.9	2.0	7.2	0.9
2. Net Domestic Assets	17.9	19.0	24.7	21.9	19.4	17.4	19.0
Domestic Credit	15.8	17.5	28.2	19.1	19.5	17.2	18.6
Credit to the public sector (incld. Govt.)	19.9	-4.2	38.3	31.0	23.4	13.5	20.8
Credit to the private sector	14.6	24.2	25.8	16.0	18.5	18.3	18.0
3. Broad money	19.2	22.4	21.4	17.0	16.7	16.0	16.5
4. Reserve money	31.9	18.1	21.0	12.2	8.7	14.5	13.8

Notes: e=estimate, Jan MPS prog = January - June 2012 MPS

There are a number of key policy measures, and assumptions, underlying this program:

First this stance is being closely coordinated with the Ministry of Finance as a prudent fiscal stance, and specifically limiting Government borrowing from the banking sector, is essential for achieving these

objectives. Fiscal-monetary coordination among senior policymakers is ensured with regular meetings of a Coordination Council chaired by the Minister of Finance. At the operational level a key coordinating body is the Cash and Debt Management Committee where representatives from Bangladesh Bank and Ministry of Finance meet regularly to discuss resource inflows, domestic and external financing outlook and key operational issues related to Treasury auctions and foreign resource mobilization. More frequent interactions of this kind will improve overall liquidity management. Ensuring government borrowing from the banking system does not crowd out available liquidity for commercial banks will remain a key area of focus for BB and in FY13 we expect less devolvement to Primary Dealer Banks. Liquidity pressures on Primary Dealer banks will also ease if current inter-bank interest rates prevail in FY13H1 as this will stimulate demand for higher-yielding government securities. In light of the limited activity in the secondary market for government bonds, the current Treasury bill-bond issuance ratio could be revisited and tilted towards T-Bills in FY13.

Second, BB will continue to focus on the quality/composition of private sector credit and on interest rate spreads. BB will aim to ensure that the composition of this credit is focused on productive sectors with an envisaged reduction in the share of consumer credit. SME and agricultural credit are expected to take a larger share of the loan portfolios of the banking sector in order to promote financial inclusion. Closer bank supervision and inspection will also ensure that single borrower exposure limits are not exceeded so that the distribution of this private sector credit growth remains broad-based across the spectrum of different industry sizes. Moreover interest rate spreads will be closely monitored and publicly disclosed on BB's website in order to promote a more competitive banking sector.

Third, financial sector strengthening is essential for effective transmission of monetary policy. New loan classification and provisioning guidelines which banks will have to implement by H1FY13, will reduce asset-liability mis-match, bring loan classification and provisioning to international standards and strengthen financial soundness of individual banks. These guidelines will make a one-off difference to bank profitability but will not affect liquidity and lending capacity. Moreover while the designation of loans as 'standard', 'sub-standard' etc are internal accounting and reporting categories which affect the amount of provisioning, they do not affect whether a borrower is a 'defaulter' and therefore unable to obtain fresh loans. As such these new guidelines will not affect the private sector growth target which is programmed here to achieve FY13's economic growth targets.

Fourth this monetary policy stance also aims to preserve the country's prevailing external sector stability. In light of the subdued outlook for global trade BB expects a modest growth in foreign reserves in FY13. BB will continue to support a market-based exchange rate while seeking to avoid excessive foreign exchange rate volatility.

The outcomes of the monetary program and policies pursued in H2 FY12 will be reviewed in January 2013 in light of prevailing global and domestic economic conditions. In the meantime monthly Monetary Policy Committee meetings will continue in order to make necessary policy adjustments.

Annex 1: BANGLADESH BALANCE OF PAYMENTS

In million US$

Components	2009-10 Actual	2010-11 Provisional	2011-12 Estimation	2012-13 Projection
Trade balance	**-5,155**	**-7,328**	**-8,223**	**-8,881**
Services	**-1,233**	**-2,398**	**-2,934**	**-3,519**
Income	10,112	10,721	11,735	13,019
of which: Workers' remittances	10,987	11,650	12,932	14,483
CURRENT ACCOUNT BALANCE	**3724**	**995**	**578**	**620**
Capital account	**512**	**600**	**500**	**650**
Financial account	**-651**	**-1584**	**-828**	**-1120**
Foreign Direct investment	913	768	1150	1200
Errors and omissions	**-720**	**-936**	**0**	**0**
OVERALL BALANCE	**2865**	**-925**	**250**	**150**
Memorandum items:				
Export growth rate (percent)	*4.2*	*41.7*	*6.0*	*8.0*
Import growth rate (percent)	*5.4*	*41.8*	*7.5*	*8.0*
Remittance growth rate (percent)	*13.4*	*6.0*	*11.0*	*12.0*
Gross official reserves (million US$)	*10,750*	*10,912*	*10,364*	*10,514*

Source: Statistics Department, Bangladesh Bank, EPB and the Ministry of Finance.